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These industries received tariff protection and policy support, but downstream manufacturers using those inputs often suffered because domestic prices were linked to import-parity prices plus tariffs.

For example, a small engineering

firm manufacturing machinery parts in India frequently paid higher prices for steel or chemicals than competitors in China or Vietnam. High tariffs designed to protect large producers quietly increased costs for thousands of MSMEs engaged in value-added

manufacturing. India protected raw material producers while unintentionally weakening component manufacturers, engineering firms and industrial supply chains.

Second, India never seriously built deep manufacturing ecosystems in